Blurt sheet - Unit 3.3 Marketing management

AQA A-LEVEL BUSINESS 7132

3.3.1 Marketing objectives

- **Marketing objectives named by AQA:** sales volume and value, market size, market and sales growth, market share, brand loyalty
- **Sales volume:** number of units sold
- **Sales value:** revenue from sales
- **Market share:** business's sales ÷ total market sales × 100
- **Brand loyalty:** customers repeatedly choosing the brand
- **Internal influences:** finance, operations capacity, HR, corporate objectives
- **External influences:** market conditions, competitors' actions, technology, economy

3.3.2 Primary and secondary research

- **Primary research:** new data collected first hand for a specific purpose, e.g. surveys, focus groups, test marketing
- **Secondary research:** data that already exists, e.g. government statistics, market reports
- **Primary pros:** up to date and specific; cons: costly and slow
- **Secondary pros:** cheap and quick; cons: may be out of date or not specific
- **Purpose of research:** understand customers, reduce risk, spot opportunities
- **Test marketing:** launching in one area first to see how the product sells
- **Trap:** research reduces risk but does not remove it

3.3.2 Qualitative, quantitative and sampling

- **Quantitative data:** numerical, e.g. percentages from a large survey
- **Qualitative data:** opinions and reasons, e.g. from focus groups
- **Sample:** a group chosen to represent the whole population
- **Random sampling:** everyone has an equal chance of being chosen
- **Stratified sampling:** sample split into groups in proportion to the population
- **Quota sampling:** interviewer chooses set numbers from each group
- **Sample size:** larger samples are more reliable but cost more

3.3.2 Market size, growth and share

- **Market size:** total sales of all businesses in the market, by volume or value
- **Market growth:** (change in market size ÷ original market size) × 100
- **Sales growth:** (change in sales ÷ original sales) × 100
- **Market share:** business's sales ÷ total market sales × 100
- **Trap:** always divide by the original figure for growth
- **Trap:** a business's sales can rise while its market share falls if the market grows faster
- **Using data in planning:** setting targets and judging performance

3.3.2 Interpreting market data

- **Correlation:** how closely two variables are related
- **Positive correlation:** both rise together; negative: one rises as the other falls
- **Trap:** correlation does not prove cause and effect
- **Extrapolation:** extending a past trend to forecast the future
- **Limitation of extrapolation:** assumes the past continues; unreliable when the market changes
- **Confidence interval:** the range within which the true value is likely to lie
- **Wider confidence interval:** less certainty about the forecast

3.3.2 Price elasticity of demand

- **Price elasticity of demand (PED):** % change in quantity demanded ÷ % change in price
- **Price elastic:** PED more than 1 (ignoring the minus sign); quantity changes by more than price
- **Price inelastic:** PED less than 1; quantity changes by less than price
- **Inelastic and price rise:** revenue rises
- **Elastic and price rise:** revenue falls
- **Influences on PED:** number of substitutes, brand loyalty, necessity, proportion of income
- **Value to marketers:** helps set prices and forecast revenue
- **Trap:** inelastic does not mean demand stays the same

3.3.2 Income elasticity of demand

- **Income elasticity of demand (YED):** % change in quantity demanded ÷ % change in income
- **Normal good:** positive YED; demand rises as income rises
- **Income elastic (luxury):** YED above +1
- **Income inelastic (necessity):** YED between 0 and +1
- **Inferior good:** negative YED; demand falls as income rises
- **Value to marketers:** forecasting demand as the economy changes
- **Trap:** negative YED means demand falls when incomes rise

3.3.3 Segmentation

- **Segmentation:** dividing a market into groups of customers with similar needs
- **Bases named by AQA:** demographic, geographic, income and behaviour
- **Demographic:** age, gender, family size
- **Geographic:** where customers live
- **Income:** how much customers earn
- **Behaviour:** how customers buy and use the product, e.g. loyalty, usage rate
- **Benefits:** products and promotion fit customers better; can charge higher prices
- **Drawback:** costs more than one mass approach

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3.3.3 Targeting, positioning and market mapping

- **Targeting:** choosing which segments to aim at
- **Niche marketing:** targeting a small, specialised segment
- **Mass marketing:** one product aimed at the whole market
- **Positioning:** how the business wants customers to see the product compared with rivals
- **Market mapping:** plots brands on two criteria customers care about, e.g. price and quality
- **Value of market maps:** show gaps and where rivals sit
- **Trap:** a gap on a market map is not always an opportunity; there may be no demand

3.3.4 The marketing mix

- **Marketing mix (7Ps):** product, price, promotion, place, people, process, physical environment
- **Integrated mix:** each element supports the others and suits the target market
- **Consumer products:** bought by individuals for their own use
- **Industrial (B2B) products:** bought by businesses; rational, larger, repeat orders
- **Influences on the mix:** target market, competition, finance, product life cycle stage
- **Trap:** B2B customers care about reliability, price and relationships more than impulse appeal

3.3.4 Product life cycle and new products

- **Product life cycle stages:** development, introduction, growth, maturity, decline
- **Introduction:** low sales, high promotion costs, often a loss
- **Growth:** sales rise quickly; rivals enter
- **Maturity:** sales level off; profits often highest
- **Decline:** sales fall
- **Extension strategies:** new uses, new markets, relaunch, new features, price changes
- **New product development:** idea → screening → development → test marketing → launch
- **Trap:** the life cycle shows sales, not profit

3.3.4 Portfolio analysis: the Boston Matrix

- **Boston Matrix:** products plotted by market share and market growth
- **Star:** high share, high growth; needs investment to keep up
- **Cash cow:** high share, low growth; generates cash
- **Problem child (question mark):** low share, high growth; invest or withdraw
- **Dog:** low share, low growth
- **Balanced portfolio:** cash cows fund stars and problem children
- **Limitations:** share is not profit; a snapshot; ignores links between products

3.3.4 Pricing

- **Influences on pricing:** costs, competition, PED, brand, stage of the life cycle, objectives
- **Penetration pricing:** low price to win market share quickly
- **Price skimming:** high price at launch, lowered later
- **Dynamic pricing:** price changes with demand, e.g. flights and hotels
- **Cost-plus pricing:** adding a percentage to unit cost
- **Competitive pricing:** setting prices close to rivals'
- **Trap:** a lower price only raises revenue if demand is price elastic

3.3.4 Promotion and branding

- **Promotional mix:** advertising, sales promotion, public relations, personal selling, direct marketing
- **Branding:** name, logo and image that make a product recognisable and distinctive
- **Benefits of branding:** loyalty, premium price, easier launch of new products
- **Social media:** low cost, targeted, two-way communication
- **Viral marketing:** content spread rapidly by customers sharing it
- **Influences on promotion:** budget, target market, product, competitors
- **B2B promotion:** personal selling, trade fairs, relationships

3.3.4 Place and the extended mix

- **Place:** how and where the product reaches customers
- **Distribution channels:** producer → wholesaler → retailer → customer, or direct
- **Multi-channel distribution:** using several channels, e.g. shops and online
- **People:** staff who deliver the service; training affects quality
- **Process:** how the service is delivered, e.g. ordering and payment
- **Physical environment:** the look and feel of where the service is delivered
- The extended mix matters most for services

3.3.4 Digital marketing and e-commerce

- **Digital marketing:** promotion using online channels, e.g. search, social media, email
- **E-commerce:** buying and selling online
- **Benefits:** reach a wider market, lower costs, data on customers, open all hours
- **Drawbacks:** strong price competition, delivery costs, returns
- **Relationship marketing:** building long-term relationships to keep customers
- **Use of data:** targeting adverts and personalised offers
- **Ethical issues:** privacy, use of personal data, targeting vulnerable groups